

Borrower FAQ

Everything a borrower asks before, during, and after a fix & flip loan.

GETTING STARTED

Q. I've never flipped a house. Will you actually lend to me?

Yes — newer investors are exactly who this was built for. What matters is a sound deal and a willingness to do the work. We help you pressure-test the rest before anyone signs anything.

Q. What do you need from me to look at a deal?

Eight things, and it takes about two minutes: your name, phone, and email, the property address, the purchase price, your rehab budget, what you think it's worth finished, and how many months you need. We check the numbers and the comps ourselves — that review costs you nothing.

Q. How fast can we close?

Days, not months. Every loan closes at a title company, cleanly and on record. Speed is the reason distressed sellers and wholesalers take one offer over another.

Q. Can you help me make cash-like offers?

Yes. We provide proof-of-funds letters for qualified borrowers, so you can write offers that get taken seriously before you've drawn a dollar.

THE LOAN

Q. How much can I borrow?

Up to **80% of what the property will be worth finished** — the after-repair value. That one number sets your loan. Sizing it against the finished value, rather than what you paid, is what leaves room in the deal for both of us.

Q. How much of my own money do I need?

10% of the purchase price as a down payment, plus closing costs. That goes in ahead of any loan money. Your stake in the deal is part of what makes it a good one.

Q. Does the loan cover the renovation?

Yes — one loan funds the purchase and the rehab. Part funds at closing to buy the property, and the rest is held back and released to you as the work gets done.

Q. How long is the loan?

Nine months. If you need more time, one **three-month extension** is available for a fee of 1% of the original loan amount, as long as you're not in default. Ask before the maturity date, not after.

Q. What does the loan cost?

12% interest, interest only, paid monthly. Two points at closing. Principal comes back at payoff.

Flat fees: a \$499 administrative fee and a \$120 background check fee at closing, and \$199 per draw request. If you extend, the extension fee is 1% of the original loan amount.

If you fall behind, the late charge is 4% of the overdue payment and matured unpaid amounts accrue at 18%.

You'll also pay the usual third-party costs — title and escrow, lender's title policy, survey, insurance, recording, and document preparation.

No application fee, and nothing buried in the paperwork. Every number above appears on your Loan Proposal before you sign anything.

Q. How is interest calculated?

Daily, on the money actually advanced — not on the full loan amount. Interest is figured on a 360-day year for the actual number of days elapsed. Because each draw increases your balance, **your payment changes month to month**. Your monthly statement always shows the exact amount and the math behind it.

Q. When are payments due?

The 1st of each month. Late on the 4th, and a late charge applies after the 10th. We don't draft your account — we send a statement a few days before the 1st and you send the payment.

Q. Can I pay the loan off early?

Any time, with no penalty. Sell in month four instead of month eight and you simply pay less interest.

Q. What kinds of properties do you lend on?

Non-owner-occupied single-family fix & flip projects in Dallas-Fort Worth. These are business-purpose loans on investment property — not loans on a home you plan to live in.

DURING THE PROJECT

Q. How do rehab draws work?

You pay for the work first, then we reimburse you. When you've finished some line items, request a draw online. There's no set schedule and no fixed number of draws — request whenever it makes sense. Minimum draw is \$5,000, and there's a fee per draw.

You'll upload a **bank or credit card statement showing the money left your account** to pay your contractor or your sub. Receipts and invoices alone aren't enough. If you paid cash, we just need to see the withdrawal.

Then one of us comes out and looks at the work in person. Every time. Then we fund it.

Q. What if I need money before I've spent anything?

Ask. We can sometimes release up to \$5,000 up front to get you started. It's case by case, but the answer isn't automatically no.

Q. What about the last draw?

The final release waits until the project is complete and passes inspection. If you come in under budget, whatever is left in the holdback is still yours to draw at that point.

Q. Who owns the property during the loan?

You do. Title is in your name and we hold a recorded lien, the same way any mortgage lender does. When you sell, the loan pays off at closing and everything above it is yours.

Q. What do I have to keep up with while the loan is open?

Keep insurance active with Lazy Dog Capital named as mortgagee and loss payee, and keep property taxes current. If a contractor or supplier ever sends you a lien notice, forward it to us that week — those are much easier to fix early.

IF THINGS GET HARD

Q. What if the project takes longer than planned?

Talk to us early. We've run hundreds of these projects and would rather help you solve a problem than watch it grow. Interest continues while the loan is open, so speed matters, but a slow month isn't a crisis.

Q. What if the budget blows up, or the city shuts me down?

Call us. Seriously. We've seen every version of a project going sideways, and we're easier to deal with than you'd expect. What we can't help with is a problem we find out about in month seven.

Q. What happens if I really can't finish?

You'd get written notice and time to cure before anything else happens. And because we own a repair company, a stalled project has options most lenders can't offer — including our own crews helping get it across the finish line.

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Invested in your finish line.